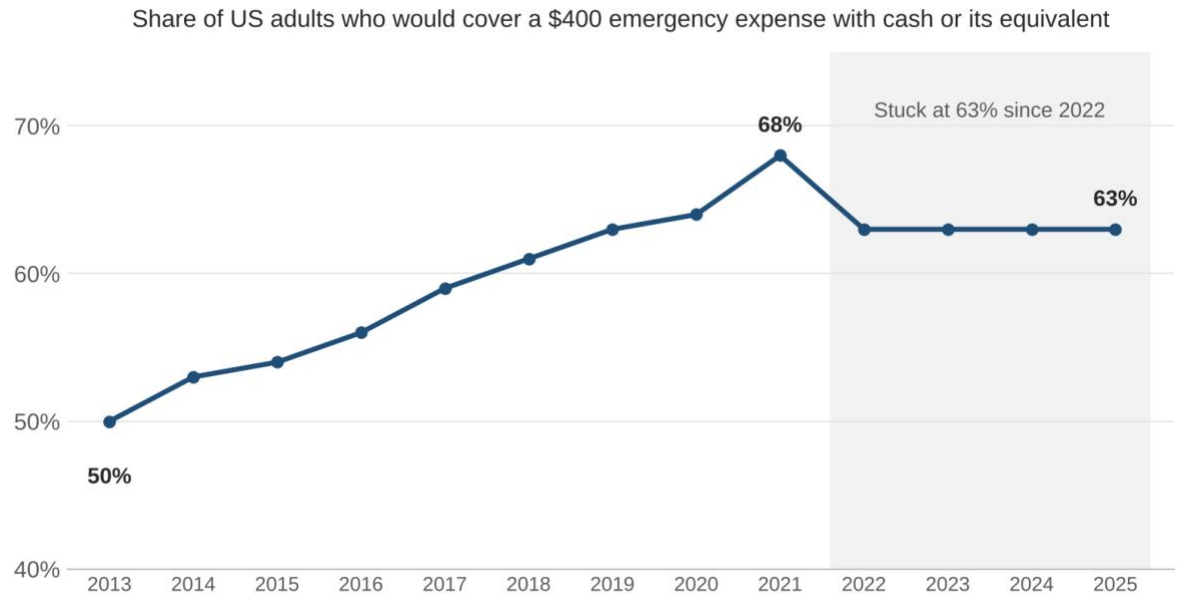
FINANCIAL WELLNESS: A CORPORATE KEY PERFORMANCE INDICATOR (KPI)

Why employee money stress is now an operational risk, and how to measure it

Ask a Chief Financial Officer (CFO) to list the biggest risks facing the business and you will hear about interest rates, liquidity and cyberattacks, but rarely about the bank accounts of their own staff. Yet 59% of US employees say they are stressed about their finances, and that stress follows them to their desks, into their meetings and, in rare but costly cases, into the accounting system. As a result, employee financial wellness is moving from an HR perk to a KPI that boards and investors can no longer ignore.

The household cash buffer shows how deep the problem runs. After a decade of steady progress, the share of Americans who could cover a $400 surprise expense with cash has been stuck at 63% for four years in a row, according to the Federal Reserve.



Source: Federal Reserve, Survey of Household Economics and Decisionmaking

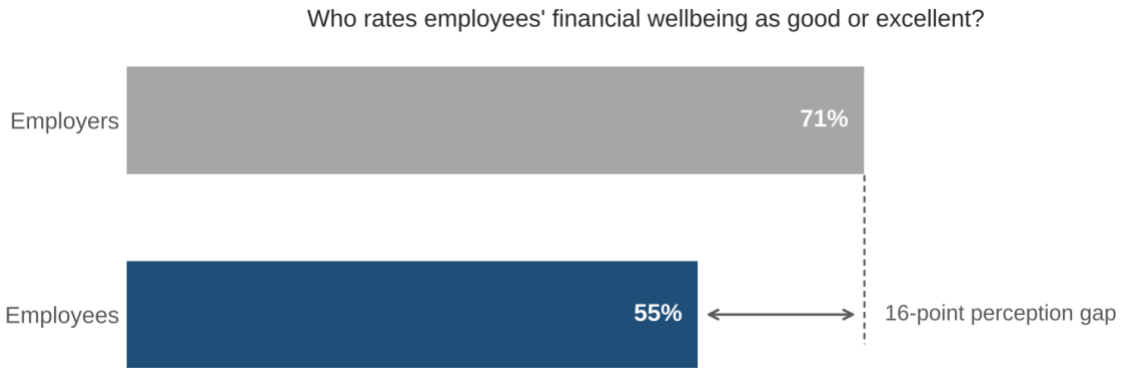
What is financial wellness, and why make it a KPI?

Financial wellness is not simply a matter of earning a high salary. The Consumer Financial Protection Bureau defines financial well-being through four elements:

- control over day-to-day finances,
- the capacity to absorb a financial shock,
- being on track to meet financial goals,
- and the freedom to make choices that let you enjoy life.

Building on this definition, the Consumer Financial Protection Bureau (CFPB) created a public ten-question scale, turning a fuzzy concept into something a company can actually measure.

And measuring it matters, because the problem is both widespread and underestimated. Only 31% of US households were financially healthy in 2025, yet employers seem largely unaware of it: Bank of America's 2026 Workplace Benefits Report found that 71% of them rate their workforce's financial wellbeing as good or excellent, against only 55% of employees.



Source: Bank of America, 2026 Workplace Benefits Report

Reporting standards are also pushing companies to measure it. The 2025 edition of ISO 30414, the international standard for human capital reporting, adds auditable workforce well-being metrics, and US listed companies must already describe their material human capital measures, though none mandates a financial wellness metric. Therefore, a practical dashboard can be built from data most firms already hold:

KPI	How to calculate it	What it signals	Data and frequency
Financial well-being score	Average CFPB score from an anonymous survey	Overall financial health	Pulse survey, twice a year
Hardship withdrawal rate	Hardship withdrawals ÷ active plan participants	Cash-flow distress	Plan recordkeeper, quarterly
Pay advance usage	Pay advance users ÷ headcount	End-of-month liquidity pressure	Payroll, monthly
Emergency savings participation	Emergency savers ÷ eligible employees	Capacity to absorb a shock	Savings platform, quarterly
Voluntary turnover	Voluntary departures ÷ average headcount	The cost to the business	HR system, quarterly

Since each indicator can move for unrelated reasons, the trend matters more than any single figure.

The problem statement: what financial stress really costs

For employees, the pressure is concrete. According to PwC's 2026 Employee Financial Wellness Survey:

- 49% say their pay is not keeping up with costs,
- 30% have less than $1,000 saved for emergencies,
- 39% have used payday loans or pay advances to bridge the gap,

- and 52% expect to dip into their retirement savings.

Gen Z feels it most: 85% say financial stress affects their mental health and 71% report reduced productivity.

And for employers, these numbers translate into lost output and lost talent. Employees under financial strain are far more often distracted at work, and those who leave for better pay or benefits can cost up to a full year's salary to replace, which is why a large majority of HR leaders now worry about the impact on productivity.

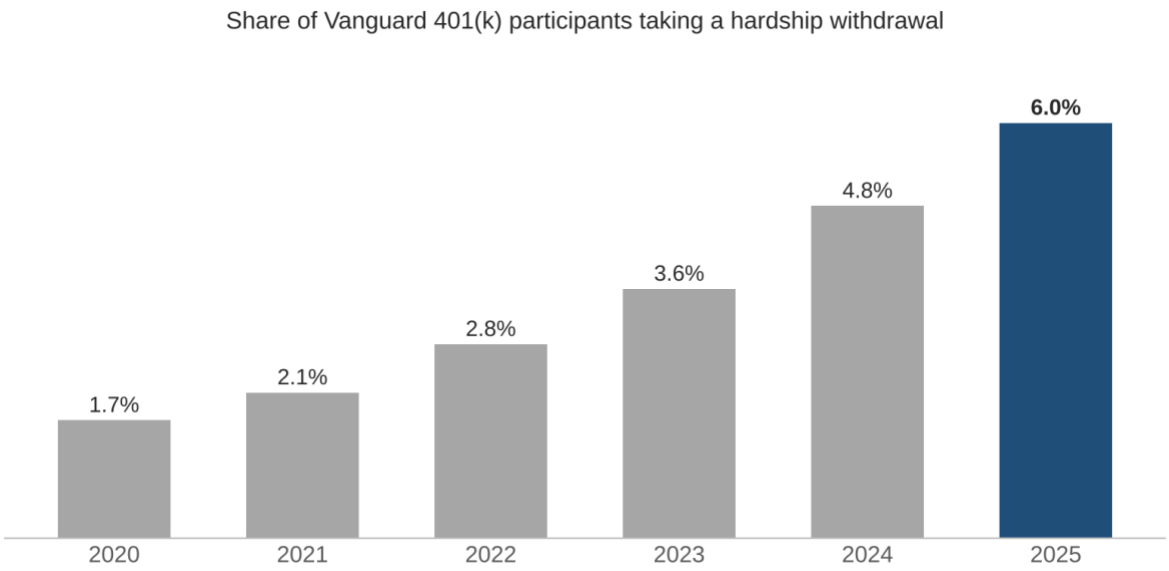
Economic research helps explain why, even if the evidence comes from very specific settings. In a field experiment published in the Quarterly Journal of Economics, low-income factory workers in India who received part of their wages early used the money to clear their debts, and went on to produce 7% more while making fewer mistakes. Similarly, a study of US truck drivers in Organization Science found that drivers who worried more about money had more preventable accidents, costing one carrier an estimated $1.3 million a year. Put simply, money stress is a tax on attention. However, these findings still need to be read with care. Most figures come from self-reported surveys, often sponsored by benefits providers, and the few causal studies cover factory workers and drivers rather than office staff.

Financial stress as an operational risk

For risk managers, none of this is new. It falls squarely under operational risk, the losses caused by people, processes or systems failing, and financial stress feeds two of its most familiar forms: internal fraud and employment-related losses such as turnover.

Of the two, fraud is the most sensitive. According to the Association of Certified Fraud Examiners, the leading anti-fraud body, 84% of employees caught committing fraud had shown at least one warning sign beforehand, with living beyond their means or struggling financially at the top of the list. Most stressed employees will never commit fraud, of course, but when financial pressure goes unaddressed, the risk quietly rises.

And that pressure is already building. The share of Vanguard 401(k) participants taking hardship withdrawals has risen for six straight years to a record 6% in 2025, and the most common reason is to avoid foreclosure or eviction.



Source: Vanguard, How America Saves, via PLANADVISER, NAPA and NRMLA

Like any other business risk, these signals need clear indicators, a plan to reduce them and a named owner:

Risk	Key risk indicator	Mitigation	Owner
Productivity loss	Hours lost, error rates	Coaching, budgeting tools	HR
Turnover	Voluntary exits, exit reasons	Emergency savings, pay review	HR
Internal fraud	Red flags, hotline reports	Confidential help, anti-fraud controls	Compliance
Retirement leakage	Hardship withdrawal rate	In-plan emergency savings	Retirement plan committee

Internal audit then checks that the whole system works, and one rule is non-negotiable: data must stay confidential and aggregated, or the program will destroy trust and expose the company legally.

The value of an employee financial wellness program

Once the risk is mapped, the question becomes what actually reduces it, and two levers stand out. A meta-analysis of 76 randomized trials in the Journal of Financial Economics found that financial education improves both knowledge and behaviors such as saving, while BlackRock's Emergency Savings Initiative shows that workers without adequate emergency funds are 13 times more likely to take a hardship withdrawal. Employers are positive too, with 9 in 10 of those offering a program reporting gains in satisfaction, productivity and retention, though on a self-reported basis. Yet only 54% of large and 32% of small companies offer one.

Given the limits of the evidence, these six steps are best treated as a way to test what works:

1. Diagnose. Combine an anonymous CFPB survey with existing data on hardship withdrawals, pay advances and turnover, then estimate the cost so the board can judge whether it is material.
2. Segment. Different groups of employees face different problems, so target the budget where stress, and cost, is concentrated.
3. Fix the foundations first. Cash flow, emergency savings and debt come before retirement planning, and low-cost options such as SECURE 2.0's pension-linked emergency savings accounts deserve a look before expensive generic platforms.
4. Remove the stigma. Offer confidential, judgment-free entry points, from digital tools for those embarrassed to ask to human coaches for complex situations.
5. Plug it into governance. Give each KPI an owner, report it to the board and, where material, include it in human capital disclosures for investors.
6. Measure and decide. Run a pilot with a comparison group, so results can be attributed to the program rather than to pay rises or the economic cycle, then scale only what works.

The cost estimate in step one can start simply. Consider a hypothetical company of 1,000 employees: if half are stressed about money and each loses two hours a week, the company forgoes 1,000 working hours every week, worth nearly $2 million a year at $40 an hour. This is an illustration rather than a measured loss, but it frames the CFO's real question: how much of that value can a program credibly recover?

Direct benefits, such as lower turnover or fewer hardship withdrawals, can be measured against the comparison group, while softer gains such as engagement are best reported separately.

Conclusion: the future of employee benefits

Employee benefits are being rewired, as employers shift their attention from retirement alone to the everyday cost-of-living pressures their people face, and as companies face growing pressure to report hard data on their workforce. Managing financial wellness like any other business risk, with clear indicators, named owners and board reporting, is the logical next step, giving the C-suite a new KPI and investors a concrete way to compare companies. For Gen Z, the generation most exposed to financial stress, it may soon decide where they choose to work, and the companies that measure financial wellness first will be the ones that manage it best.